

SUBJECT PROPERTY | EXTERIOR STREETVIEW

VERDICT: DO NOT BUY (HOLD) / DO NOT BUY (FLIP) | INVESTMENT SCORE: 30/100

PROPERTY & VALUATION SNAPSHOT

Property Details	Data
Property Type	Multi-Family (3 Legal Units)
Beds	10
Baths	5
Year Built	1899

Valuation Metric	Estimated Value
Asking Price	$898,000
Recommended MAO	$425,000
Est. FMV	$558,700 - $594,300
Est. ARV	$809,950 - $860,050
Est. Renovation Budget	$450,000 - $550,000

EXECUTIVE SUMMARY

13 May Street is a highly complex, distressed asset masquerading as a turnkey multi-unit cash cow in Newark's urban value market. While municipal tax records confirm its legal status as a 3-Family dwelling-eliminating outright zoning violations-the asset requires a staggering $475,000 capital expenditure budget to modernize and separate entangled utilities. Because separating the 1899 plumbing and electrical requires destroying the current 'turnkey' cosmetic finishes, a full structural and cosmetic rebuild is mandatory. At the exorbitant asking price of $898,000, these massive renovation requirements completely destroy the financial viability of both buy-and-hold and fix-and-flip strategies. Suffering from severe negative leverage and a projected flip loss exceeding $800,000, this is a high-risk value-trap.

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FINANCIAL SYNTHESIS & STRATEGY COMPARISON

The financial architecture of 13 May Street is fundamentally flawed at the current $898,000 asking price. For a buy-and-hold investor, achieving the projected stabilized Gross Rent of $90,000 necessitates $475,000 in capital expenditures to overhaul obsolete mechanicals, forcing the destruction and replacement of all current interior finishes. This bloats the out-of-pocket cash, creating a financial paradox where the 6.00% cost of debt completely eclipses the 3.74% Stabilized Cap Rate. This severe negative leverage suppresses the Cash-on-Cash return to an abysmal (0.77%) and results in a dangerously low DSCR of 0.88. For a flipper, the $835,000 ARV is a mirage overshadowed by the exorbitant costs of an infrastructure gut. The required rehab budget, combined with over $117,000 in extended hard money interest (10 months) and nearly $67,000 in exit costs, pushes the Total Deal Cost to $1,646,491-guaranteeing a catastrophic net loss exceeding $811,000. The property must be acquired at or below the $425,000 MAO to be viable.

STRATEGY A: BUY & HOLD (LONG-TERM)

UNDERWRITING ASSUMPTIONS

Underwriting Assumption	Value
Purchase Price	$898,000
Down Payment %	25%
Interest Rate	6.00%
Amortization Period	30 Years
Expense Ratio	50%

OPERATING PRO-FORMA

Line Item	Current (As-Is)	Stabilized
Gross Rent	$75,876	$90,000
Vacancy Loss	$3,794	$4,500
EGI	$72,082	$85,500
Operating Expenses	$36,041	$42,750
NOI	$36,041	$42,750
Debt Service	$48,455	$48,455
Monthly Cash Flow	$-1,035	$-475

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YIELD & RETURN METRICS

Metric	Current (As-Is)	Stabilized
Cap Rate	4.01%	3.74%
Cash-on-Cash Return	(4.77%)	(0.77%)
DSCR	0.74	0.88

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STRATEGY B: FIX & FLIP (SHORT-TERM)

HARD MONEY TERMS

Hard Money Loan Structure	Value
Loan Amount	$1,283,200
Total Points	$25,664
Total Interest (10 mos)	$117,627

CAPITAL REQUIREMENTS

Capital & Exit Costs	Value
Holding Costs	$24,980
Exit Costs	$66,800
Acquisition/Closing Costs	$35,920
Lender Fees	$2,500
Total Deal Cost	$1,646,491

PROJECTED RETURNS

Projected Flip Margin	Value
Projected ARV	$835,000
Net Profit	$-811,491
Cash-on-Cash Return	(223.37%)
Forced Appreciation	$-538,000

FIX & FLIP SENSITIVITY MATRIX

Scenario	Purchase Price	Rehab Cost	ARV	Net Profit	CoC Return
Worst Case	$942,900	$525,000	$751,500	$-993,306	(267.59%)
Base Case	$898,000	$475,000	$835,000	$-811,491	(223.37%)
Best Case	$853,100	$425,000	$918,500	$-634,187	(176.21%)

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RENOVATION & CAPEX ANALYSIS

The property's 10-bedroom, 5-bathroom footprint acts as a massive cost multiplier. While currently presenting in a surface-level 'turnkey' condition, the critical flaw lies in the property's mechanical antiquity. The 1899 structure relies on deeply entangled, shared electrical and HVAC systems. In order to physically run new plumbing stacks and individual HVAC ducting/mini-splits to separate the utilities for 3 units, the investor must completely tear open the currently functional walls, floors, and ceilings. Therefore, fixing the 'invisible' infrastructure inherently forces a complete, $475,000 cosmetic re-build to repair the destruction, nullifying the value of the home's existing aesthetic condition. A highly-permitted, 10-month infrastructure overhaul is mandatory to establish functional operational control.

ITEMIZED CAPEX BUDGET

Category	Est. Cost	Priority
Heavy MEP: Sub-metering, New HVAC & Electrical	$175,000	High
Luxury Kitchens & Baths (3 Units / 5 Baths)	$115,000	High
Demolition, Framing, Fire-Code & Abatement	$105,000	High
Flooring, Paint, Trim & Fixtures	$80,000	Medium

ESTIMATED CONSTRUCTION TIMELINE

Phase	Description	Est. Duration
Phase 1	Architectural Plans & Municipal Permitting	12 Weeks
Phase 2	Demolition, Abatement & Framing	5 Weeks
Phase 3	Heavy MEP Rough-In & Sub-metering	8 Weeks
Phase 4	Inspections, Insulation & Drywall Installation	6 Weeks
Phase 5	Kitchen, Bath & Flooring Finishes	6 Weeks
Phase 6	Final C.O. Inspections & Punch List	3 Weeks

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MARKET & ZONING INTELLIGENCE

Located in the 07104 zip code, Newark serves as a budget-friendly urban value play, attracting demand from buyers and renters priced out of more expensive commuter towns like Montclair. The property benefits from excellent transit connectivity, including proximity to the Bloomfield Avenue and Davenport Avenue Light Rail stations, providing robust regional access. However, this transit advantage is counterbalanced by a severe property crime rate of 23.6 per 1,000 residents, which deters premium tenant pools, increases turnover, and inflates insurance premiums. The vast disparity in local price per square foot indicates a highly inconsistent housing stock, making the neighborhood feel unstable and complicating future appraisal certainty.

ENVIRONMENTAL & LOCATIONAL FACTORS

Environmental Factor	Status / Impact
Nearest Transit	Bloomfield Ave & Davenport Ave Light Rail
Crime Rate Status	High (23.6 per 1,000)
Flood Zone	X (Minimal Hazard)
Wetlands	None Identified
Contamination	Moderate/High Risk (Lead/Asbestos due to 1899 build)

UNIT MIX & PROJECTED RENT ROLL

Unit Type	Count	Current Avg Rent	Pro-Forma Rent
Unit 1 (Legal)	1	$2,108	$2,500
Unit 2 (Legal)	1	$2,108	$2,500
Unit 3 (Legal)	1	$2,107	$2,500

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TAX ASSESSMENT & APPEAL STRATEGY

The property carries a heavy annual tax burden, which is consistent with a high-density land use designation but oppressive for an 1899 residential structure. Under New Jersey Chapter 123 regulations, the property's current Subject Ratio of 45.37% falls comfortably within the safe common level range between the Lower Limit of 34.25% and the Upper Limit of 46.33%. Consequently, the assessment is legally classified as conforming, and the property is not eligible for a tax appeal reduction based on valuation. Investors must underwrite the deal absorbing this full tax liability, as spot assessments are illegal and no relief will be granted based on the current valuation metrics.

CHAPTER 123 TAX METRICS

Tax Assessment Metric	Value
Current Assessment	$272,600
Implied Market Value	$676,595
True Market Value	$600,800
Subject Ratio	45.37%
Director Ratio	40.29%
Upper Limit	46.33%
Lower Limit	34.25%
Est. Tax Savings	$0
Projected Stabilized Taxes	$15,313

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IDENTIFIED CRITICAL RISKS

- Catastrophic negative forced appreciation ($-538,000) making the flip strategy financially destructive at the current asking price.
- Negative cash flow in both As-Is ($1,035/mo) and Stabilized ($475/mo) scenarios due to severe negative leverage.
- Massive mechanical liability; separating shared 1899 utility infrastructure requires the total destruction of the home's currently functional cosmetic finishes.
- High environmental risk for Lead-Based Paint and Asbestos-Containing Materials requiring specialized abatement during demo.
- Appraisal risk driven by a highly inconsistent neighborhood housing stock and the heavy crime rate of 23.6 per 1,000 residents.

MITIGATION STRATEGIES

- Demand a massive purchase price reduction to at least $425,000 (MAO) to offset the $475k sub-metering CapEx and negative forced appreciation.

- Acknowledge that separating entangled plumbing and electrical will necessitate the destruction of existing turnkey finishes; budget for a full cosmetic rebuild alongside the mechanicals.

- Conduct comprehensive Phase 1 environmental testing and budget specifically for lead and asbestos abatement typical of an 1899 build.

- Perform a rigorous mechanical inspection to verify the extent of utility entanglement and the exact structural pathways needed to run new plumbing and electrical stacks.

- Implement strict tenant screening protocols and robust property management to mitigate the impact of the high local crime rate.

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DUE DILIGENCE: VERIFICATION MATRIX

The following matrix highlights critical structural, zoning, or environmental discrepancies between municipal public records and the marketed property details.

Data Point	Public Record	Listing Claim	Risk Level
Property Type	Class 2 (1-4 Family)	Legal 3-Family	LOW
Unit Count	3 Units	3 Units	LOW
Mechanicals	Shared Systems	Separate Systems Needed	HIGH

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SALES COMPARABLES (RECENT CLOSINGS)

Address	Sale Price	SqFt	Beds	Baths	Sale Date
78-80 Broad St	$890,000	N/A	8	5	04/15/2026
171 Ridge St	$850,000	N/A	6	4	02/15/2026
335 Montclair Ave	$750,000	N/A	5	4	03/06/2026
229-233 Montclair Ave	$750,000	3701	7	3	03/24/2026
209 Mount Prospect Ave	$735,000	N/A	13	5	12/07/2025

RENTAL MARKET TRENDS

Rental Trend Metric	Value
Median Rent	$2,100
Yearly Change	$126
Available Rentals	217
Market Temp	WARM

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